LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

# Working Capital Limits ?

Developed by www.loanbazaaronline.com

## Table of Content


| Module | Title | PAGE NO |
|---|---|---|
| | Executive Summary & Course Orientation | Page No.3 |
| Module 1 | Product Overview & Core Fundamentals of Working Capital Limits | Page No.4 |
| Module 2 | Sizing Methodologies & Assessment Frameworks | Page No.7 |
| Module 3 | Comparative Capital Architecture Matrix | Page No.9 |
| Module 4 | Drawing Power (DP) Sizing, Stock & Receivables Margins, and Monthly Statements | Page No.11 |
| Module 5 | Security Architecture, Documentation & Legal Covenants | Page No.13 |
| Module 6 | Indicative Tenure, Pricing Mechanics, Accounting & Tax Shields | Page No.15 |
| Module 7 | Suitable Industries, Borrower Profiles & Market Alignment | Page No.17 |
| Module 8 | Strategic Advantages, Risk Mitigation & Operational Limitations | Page No.19 |
| Module 9 | Comprehensive Real-World Case Study (Indian Rupee Models) | Page No.21 |
| Module 10 | Regulatory Compliance, RBI IRACP Norms & Default Framework | Page No.25 |
| Module 11 | Professional Certification Examination & Detailed Rationale | Page No. 26 |


Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

## Executive Summary & Course Orientation

Working Capital Limits represent the lifeblood of corporate finance, commercial banking, and industrial operations in India. Designed to bridge the temporal mismatch between cash outflows for raw material procurement, labor, overheads, and manufacturing costs and cash inflows from sales realizations, Working Capital Limits provide revolving, flexible, and asset-backed short-term credit. Unlike long-term capex term loans that finance fixed asset creation, working capital facilities sustain day-to-day liquidity, optimize the Cash Conversion Cycle (CCC), and enable commercial enterprises to scale operations seamlessly.

This white paper document is structured as an authoritative, end-to-end masterclass reference manual. It provides an exhaustive, institutional-grade framework covering every operational, legal, credit appraisal, underwriting, tax, and structural aspect of Working Capital Limits in India. Designed as a standalone curriculum for finance professionals, credit analysts, corporate CFOs, bankers, and students, reading this document alone will equip any rookie in finance with the complete domain knowledge required to master working capital credit structuring, perform quantitative sizing calculations, enforce security charges, and clear professional certification examinations.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

# Module 1: Product Overview & Core Fundamentals of Working Capital Limits

## 1.1 Definition and Foundational Concept of Working Capital Limits

A Working Capital Limit is an approved credit line sanctioned by a bank or Non-Banking Financial Company (NBFC) to a business entity to fund its short-term operating assets—specifically raw material inventory, work-in-progress (WIP), finished goods, and trade receivables (sundry debtors). Rather than disbursing a lump-sum loan that amortizes over fixed tenures, working capital limits are revolving in nature, allowing borrowers to draw down, repay, and re-draw funds dynamically within the sanctioned ceiling based on real-time operating needs.

The fundamental premise of working capital financing rests on securing credit against the borrower's gross current assets while ensuring that the borrower maintains an adequate equity contribution—known as the **Margin** or **Net Working Capital (NWC)**. By funding the gap between current assets and current liabilities (excluding bank borrowings), working capital limits ensure that commercial enterprises maintain uninterrupted production and trade cycles without facing liquidity strangulation.

## 1.2 The Working Capital Gap (WCG) and Operating Cycle Mechanics

Understanding Working Capital Limits requires a rigorous analysis of the **Operating Cycle** (or Cash Conversion Cycle). The operating cycle measures the time elapsed from the outlay of cash for raw materials to the ultimate collection of cash from customers:

Gross Operating Cycle (GOC)=Raw Material Holding Period (RMHP)+WIP Conversion Period (WIPP)+Finished Goods Holding Period (FGHP)+Debtors Realization Period (DRP)

$$Net\ Operating\ Cycle\ (NOC) = Gross\ Operating\ Cycle\ (GOC) - Creditors\ Deferral\ Period\ (CDP)$$

The financial outlay required to sustain current assets during this Net Operating Cycle constitutes the **Gross Working Capital Requirement**. Deducting non-bank current liabilities (such as trade creditors, statutory dues, and advance payments from customers) yields the **Working Capital Gap (WCG)**:

$$Working\ Capital\ Gap\ (WCG) = Total\ Current\ Assets\ (CA) - Total\ Current\ Liabilities\ ex - Bank\ Debt$$

Bank working capital limits are specifically sized to finance a major portion (typically 75% to 80%) of this Working Capital Gap, requiring the borrower to fund the balance 20% to 25% through Net Working Capital (promoter equity or retained earnings).

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

## 1.3 Spectrum of Working Capital Facilities: Fund-Based vs Non-Fund Based Limits

Working capital assistance in India is broadly bifurcated into **Fund-Based Limits** (involving direct cash disbursal by the lender) and **Non-Fund Based Limits** (involving financial commitments or guarantees without immediate cash outlay):

1. **Fund-Based Working Capital Facilities**:
    - **Cash Credit (CC)**: A revolving running account facility where interest is charged strictly on the daily utilized balance, secured by the hypothecation of stocks and debtors.
    - **Overdraft (OD)**: A flexible credit line linked to a current account, often secured by financial assets (fixed deposits, property, mutual funds) or clean corporate cash flows.
    - **Working Capital Demand Loan (WCDL)**: Fixed-tenure short-term loan tranches (30 to 180 days) carved out of the overall cash credit limit to lower interest costs.
    - **Bill Discounting / Purchase (BDP)**: Short-term funding against accepted commercial usance bills of exchange or trade invoices.
    - **Pre-Shipment / Post-Shipment Export Credit**: Specialized Packing Credit in Rupees (EPC) or Foreign Currency (PCFC) provided to exporters for raw material procurement and post-shipment bill discounting.
2. **Non-Fund Based Working Capital Facilities**:
    - **Letters of Credit (Inland & Import LC)**: Bank undertakings guaranteeing payment to suppliers against compliant trade shipping documents (UCP 600 rules).
    - **Bank Guarantees (Financial & Performance BG)**: Irrevocable bank obligations securing contractual performance, tender bid bonds, mobilization advances, or financial obligations.

## 1.4 Regulatory Evolution: From Tandon & Chore Committees to MPBF, Cash Budget, and RBI Loan System

Working capital assessment in India has undergone significant regulatory evolution driven by Reserve Bank of India (RBI) directives:

- **Tandon Committee (1974) & Chore Committee (1979)**: Introduced the concepts of inventory/receivables holding norms, Maximum Permissible Bank Finance (MPBF), and mandatory Minimum Current Ratio thresholds (1.33:1 under Method 2).
- **Nayak Committee (1993)**: Simplified credit assessment for MSMEs by mandating working capital limits at 20% of projected annual turnover for credit requirements up to ₹5.0 Crores.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

- **Cash Budget Method (1997 Onward)**: De-regulated working capital assessment, allowing banks autonomy to use cash flow projection models for seasonal, EPC, construction, and service industries.
- **RBI Mandatory Loan System Guidelines**: Mandated a minimum **60% Loan Component (WCDL)** and a maximum **40% Cash Credit Component** for corporate borrowers with aggregate working capital limits of ₹15.0 Crores and above, aiming to curb unannounced credit utilization volatility and enhance monetary policy transmission.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

# Module 2: Sizing Methodologies & Assessment Frameworks

## 2.1 Nayak Committee Turnover Method (20% Projected Turnover Rule)

For Micro, Small, and Medium Enterprises (MSMEs) and commercial borrowers seeking aggregate fund-based working capital limits up to **₹5.0 Crores**, the RBI mandates the simplified **Nayak Committee Turnover Method**:

- **Total Working Capital Requirement**: Estimated at a minimum of **25% of the projected annual gross turnover**.
- **Bank Working Capital Limit**: Sized at **20% of the projected annual gross turnover**.
- **Promoter Equity Contribution (NWC)**: Sized at **5% of the projected annual gross turnover**.

$$Working\ Capital\ Limit\ (Bank\ Debt) = Projected\ Gross\ Annual\ Turnover \times 20\%$$

*Underwriting Guardrail*: Credit officers must verify that projected turnover growth is realistic (typically capped at 15%–25% year-on-year unless backed by confirmed purchase orders or capacity expansion) and that the borrower's actual net working capital aligns with the 5% margin requirement.

### 2.2 Tandon Committee Maximum Permissible Bank Finance (MPBF) Framework

For corporate borrowers with working capital requirements exceeding **₹5.0 Crores**, banks utilize the **Tandon Committee Maximum Permissible Bank Finance (MPBF)** methods, with **Method 2** being the standard institutional benchmark:

- **MPBF Method 1** (Liberal):

  $$MPBF_1 = 0.75 \times (Total\ Current\ Assets - Current\ Liabilities\ ex - Bank\ Debt)$$

  *(Promoter contributes 25% of the Working Capital Gap from long-term funds)*.

- **MPBF Method 2** (Institutional Standard):

  $$MPBF_2 = (0.75 \times Total\ Current\ Assets) - Current\ Liabilities\ ex - Bank\ Debt$$

  *(Promoter contributes 25% of Total Current Assets from long-term funds / NWC)*.

Under MPBF Method 2, the borrower must maintain a **Minimum Current Ratio of 1.33:1**:

$$Current\ Ratio = \frac{Total\ Current\ Assets}{Current\ Liabilities\ ex - Bank\ Debt + MPBF} \geq 1.33$$

## 2.3 Cash Budget Method for Seasonal, Contracting, Construction & EPC Enterprises

Certain business models—such as sugar mills, tea estates, seasonal agricultural processors, infrastructure contractors, software developers, and EPC firms—exhibit extreme cash flow volatility

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

or lack standardized inventory holding patterns. For these sectors, the MPBF method fails. Banks utilize the **Cash Budget Method**:

1. **Monthly Cash Inflow Projections**: Detailed 12-month projections of operational receipts (customer collections, advance payments).
2. **Monthly Cash Outflow Projections**: Detailed 12-month projections of operational expenses (raw material purchases, labor, power, freight, taxes, administrative overheads).
3. **Monthly Net Cash Peak Deficit**: Identifying the month with the maximum cumulative cash deficit.
4. **Limit Sizing**: The sanctioned working capital limit is set equal to the **peak cumulative cash deficit** during the operating cycle, ensuring adequate liquidity during peak operational build-up.

## 2.4 The RBI Mandatory Loan System (60:40 WCDL / Cash Credit Split)

To prevent corporate borrowers from hoarding unused cash credit limits and to improve liquidity management in the banking system, the RBI introduced the **Delivery of Bank Credit Guidelines**:

- Applicable to borrowers with aggregate fund-based working capital limits of **₹15.0 Crores and above** across the banking system.
- Mandatory split:
  - **Working Capital Demand Loan (WCDL) Component**: Minimum **60%** of the sanctioned limit.
  - **Cash Credit (CC) Component**: Maximum **40%** of the sanctioned limit.
- WCDL tranches are rolled over for fixed tenures (30, 60, 90, or 180 days) at fixed or floating interest rates, while the cash credit component operates as a flexible running account.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

## Module 3: Comparative Capital Architecture Matrix

Understanding how Working Capital Limits compare against alternative debt products is vital for financial architects, credit underwriters, and corporate treasurers. The comparative matrix below outlines the structural distinctions across major short-term and medium-term financing facilities in India:

| Structural Parameter | Revolving Cash Credit (CC) | Overdraft Facility (OD) | Working Capital Demand Loan (WCDL) | Trade Bill Discounting (BDP) | Term Loan (Capex) |
|---|---|---|---|---|---|
| **Primary Commercial Purpose** | Funding day-to-day inventory & receivables gap | Short-term cash flow smoothing & emergency liquidity | Fixed-tenure bulk working capital tranche funding | Immediate cash monetization of usance sales bills | Long-term capital expenditure & fixed asset creation |
| **Primary Collateral Security** | Hypothecation of stocks & receivables + Mortgage | Financial assets (FD/Property) or clean corporate cash flow | First hypothecation charge on current assets | First assignment of accepted Bills of Exchange / Invoices | First exclusive mortgage over land, building & machinery |
| **Facility Tenure & Structure** | 12-Month revolving line subject to annual renewal | 12-Month revolving line or on-demand overdraft | Short-term discrete tranches (30 to 180 days) | Bill tenure matching usance period (30 to 180 days) | Medium to long-term (3 to 15 years door-to-door) |

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

| Structural Parameter | Revolving Cash Credit (CC) | Overdraft Facility (OD) | Working Capital Demand Loan (WCDL) | Trade Bill Discounting (BDP) | Term Loan (Capex) |
|---|---|---|---|---|---|
| **Repayment Mechanics** | Dynamic deposits from customer sales receipts | Flexible credits as cash becomes available | Bullet repayment at maturity of each tranche | Direct collection from drawee bank at bill maturity | Structured monthly or quarterly EMI/EQI amortization |
| **Interest Computation** | Daily closing balance, debited monthly | Daily closing balance, debited monthly | Fixed rate per tranche, paid monthly or at maturity | Front-ended discount deducted upfront from bill face value | Amortizing monthly interest on outstanding principal |
| **Drawing Power (DP) Linkage** | Strictly limited by monthly Drawing Power (DP) statements | Fixed limit or linked to underlying pledged asset value | Carved out of overall DP; tranche cannot exceed DP | Direct 1:1 linkage to face value of accepted bills | Sized against fixed project outlay (LTC/LTV caps) |
| **Commitment Charge Impact** | Applicable on unutilized portion (>15% shortfall) | Nil or fixed annual line fee | Nil on active tranches | Nil | Commitment fee on un-drawn loan tranches |
| **RBI Loan System Mandate** | Max 40% component for limits ≥ ₹15 Cr | Exempt | Min 60% component for limits ≥ ₹15 Cr | Exempt | Exempt (Capex Facility) |

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

# Module 4: Drawing Power (DP) Sizing, Stock & Receivables Margins, and Monthly Statements

## 4.1 Paid Stock vs. Unpaid Stock (Sundry Creditors Deductions)

A critical error made by novice finance practitioners is assuming that a bank's sanctioned Cash Credit limit equals the amount the borrower can withdraw on any given day. In reality, the actual borrowing capacity is strictly capped by the **Drawing Power (DP)** calculated every month from the borrower's **Stock & Receivables Statement**.

Drawing Power is calculated strictly on **Paid Stock** (inventory that has been paid for by the borrower or funded via equity/non-bank credit). Any inventory purchased on credit from trade suppliers (**Sundry Creditors**) has not been paid for by the borrower; granting bank credit against unpaid stock would result in double-financing.

$$Paid\ Stock = Total\ Gross\ Stock\ (RM + WIP + FG) - Sundry\ Creditors\ for\ Raw\ Material$$

## 4.2 Debtor Haircuts, Ageing Caps (90/180 Days), and Eligible Receivables Sizing

Trade receivables (Sundry Debtors) represent future cash inflows from customers. However, banks do not provide 100% credit against gross debtors due to credit default risks, commercial disputes, and dilution:

1. **Ageing Cap Threshold**: Banks strictly exclude receivables outstanding beyond a specified age—typically **90 days** for commercial enterprises and **180 days** for specialized capital goods, export, or government supplies. Debtors exceeding the ageing cap are classified as **Ineligible Debtors** and receive 0% Drawing Power.
2. **Associate / Group Company Exclusions**: Receivables due from sister concerns, group companies, or promoter-held entities are completely excluded to prevent artificial inflation of Drawing Power.
3. **Debtor Haircut / Margin**: Banks apply a standard margin of **25% to 40%** on eligible debtors (yielding an advance rate of 60% to 75%).

$$Eligible\ Debtors = Total\ Sundry\ Debtors - Ineligible\ Debtors\ (> 90\ Days) - Group\ Company\ Debtors$$

## 4.3 Drawing Power (DP) Master Sizing Formula & Monthly Compliance Workflow

Combining paid stock and eligible debtors after applying their respective bank margins yields the master Drawing Power formula:

$$DP = [Paid\ Stock \times (1 - Stock\ Margin\ \%)] + [Eligible\ Debtors \times (1 - Debtor\ Margin\ \%)]$$

Where: - Standard Stock Margin = **25%** (Advance Rate = 75%) - Standard Debtor Margin = **30% to 40%** (Advance Rate = 60% to 70%)

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

$$Actual\ Permissible\ Withdrawal = min(Sanctioned\ Credit\ Limit, Calculated\ Drawing\ Power)$$

*Operational Rule*: If calculated Drawing Power falls below the sanctioned limit, the borrower's maximum withdrawal is immediately capped at the DP amount. If the actual account balance exceeds the DP, the account enters an **Out-of-Order** status, triggering penal interest (2.00% p.a.) and requiring immediate cash injection within 30 to 60 days to prevent Non-Performing Asset (NPA) classification under RBI IRACP norms.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

# Module 5: Security Architecture, Documentation & Legal Covenants

## 5.1 Primary Collateral: First Exclusive Charge by Way of Hypothecation over Movable Current Assets

The primary security for Working Capital Limits consists of a **first exclusive floating charge by way of hypothecation** over all present and future movable current assets of the borrower—specifically raw materials, work-in-progress, finished goods, stores and spares, book debts, trade receivables, and operational cash flows.

Legal Framework: - Governed by Section 2(1)(n) of the **SARFAESI Act 2002** and Section 125/126 of the **Indian Contract Act 1872**. - Execution of a standardized **Master Deed of Hypothecation** empowering the lender to inspect inventory, conduct stock audits, inspect books of account, attach trade receivables, and, in the event of default, take physical possession and sell the hypothecated stock without court intervention under Section 13(4) of the SARFAESI Act.

## 5.2 Collateral Security: Mortgage over Fixed Assets & Corporate/Personal Guarantees

Because current assets fluctuate daily, banks mandate secondary collateral security to insulate the credit facility against fraud, inventory misreporting, or sudden business downturns:

1. **Equitable Mortgage / Registered Mortgage**: First or second charge over industrial land, factory buildings, office premises, or commercial/residential real estate owned by the borrower or promoters under Section 58(f) of the **Transfer of Property Act 1882**.
2. **Personal & Corporate Guarantees**: Irrevocable personal guarantees executed by promoter directors and corporate guarantees from parent/group entities under Section 126 of the Indian Contract Act 1872, creating joint and several personal liability.
3. **Pledge of Shares**: In structured corporate working capital lines, pledge of 30% to 51% of promoter equity shares under Section 172 of the Indian Contract Act 1872.

## 5.3 Statutory Charge Filings: ROC Form CHG-1, CERSAI, and NeSL Information Utility

To perfect the security interest and establish legal priority over competing creditors, lenders enforce mandatory statutory filings:

- **ROC Form CHG-1 Filing**: Under Section 77 of the **Companies Act 2013**, any charge created on a corporate borrower’s assets must be registered with the Registrar of Companies (ROC) via Form CHG-1 within **30 days** of creation. Failure to register renders the charge void against the liquidator and competing creditors under Section 87 during insolvency.
- **CERSAI Portal Registration**: Registration on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) portal within 30 days under Section

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

20 of the SARFAESI Act 2002 to prevent fraudulent double-hypothecation or multi-banking mortgage fraud.

- **NeSL Information Utility**: Registration of the debt and default data with National E-Governance Services Limited (NeSL) under Section 215 of the **Insolvency and Bankruptcy Code (IBC) 2016**, serving as conclusive evidence of debt in NCLT admission proceedings.

## 5.4 Key Legal Covenants, Stock Insurance, and Stock Audit Mandates

1. **Comprehensive All-Risk Stock Insurance**: The borrower must maintain comprehensive fire, burglary, flood, and earthquake insurance over all hypothecated stocks stored at factory and warehouse premises, carrying an explicit **Bank Hypothecation Clause** naming the lender as the First Loss Payee.
2. **Annual Stock Audit Mandate**: For aggregate working capital limits exceeding **₹5.0 Crores**, banks appoint an independent Chartered Accountant (CA) or Cost Accountant firm to conduct an annual physical **Stock & Receivables Audit**. The stock auditor verifies physical inventory counts, valuation accuracy, slow-moving/obsolete stock deductions, creditor reconciliations, and debtor ageing accuracy.

---

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

# Module 6: Indicative Tenure, Pricing Mechanics, Accounting & Tax Shields

## 6.1 Indicative Facility Tenure, Annual Renewal / Assessment Cycles, and Stock Audit Triggers

Working Capital Limits are sanctioned as **12-month revolving facilities**, subject to annual review and formal renewal:

- **Annual Renewal Cycle**: Every 12 months, the borrower submits audited financial statements, projected cash flow statements, and trade performance reports. The lender re-assesses the Working Capital Gap, re-sizes credit limits, and extends the facility for another 12 months.
- **Short-Term Extensions**: If audited financials are delayed, banks grant short-term extensions of 30 to 90 days, subject to a 0.25%–0.50% extension fee.
- **Immediate Stock Audit Triggers**: Adverse stock audit findings (such as >15% variance between reported and audited DP, un-insured stock, or un-recorded creditors) trigger immediate limit freezing or penal interest imposition.

## 6.2 Floating Benchmark Pricing (EBLR/MCLR) & Commitment Charges on Unutilized Limits

Working capital facilities operate on floating interest rates benchmarked to RBI-mandated reference rates:

$$Effective\ Interest\ Rate = External\ Benchmark\ (EBLR)\ /\ MCLR + Credit\ Risk\ Spread$$

- **External Benchmark Lending Rate (EBLR)**: Linked directly to the RBI Repo Rate (for MSMEs and retail borrowers).
- **Marginal Cost of Funds based Lending Rate (MCLR)**: 1-month or 1-year MCLR (for large corporate borrowers).
- **Commitment Charge on Unutilized Limits**: To prevent corporate borrowers from hoarding unused cash credit capacity, banks levy a **Commitment Charge of 0.50% to 1.00% p.a.** on the unutilized portion if average quarterly utilization falls below 70% to 85% of the sanctioned cash credit limit.

## 6.3 Income Tax Shields under Section 36(1)(iii) of the Income Tax Act 1961

Interest paid on working capital limits is treated as a fully deductible operational business expense under **Section 36(1)(iii) of the Income Tax Act 1961**. This creates a powerful **Tax Shield** that substantially reduces the effective post-tax cost of working capital borrowing:

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

$$Effective\ Post\ -\ Tax\ Cost\ of\ Debt\ \left(K_{d,post}\right) = R_{nominal} \times \left(1\ -\ T_{corporate}\right)$$

For an Indian corporate borrower paying a nominal Cash Credit interest rate of 10.00% p.a. subject to the standard corporate tax rate of **25.168%** (22% base tax + 10% surcharge + 4% cess under Section 115BAA):

$$K_{d,post} = 10.00\% \times (1\ -\ 0.25168) = 10.00\% \times 0.74832 = 7.4832\%\ p.a.$$

## 6.4 Ind AS Accounting: Current Liabilities Classification & Working Capital Ratios

Under Indian Accounting Standards (**Ind AS 1** - Presentation of Financial Statements): - Working capital limits (Cash Credit, Overdraft, WCDL) are classified as **Short-Term Borrowings under Current Liabilities**. - Because cash credit is a current liability, it directly impacts the corporate **Current Ratio**:

$$Current\ Ratio\ = \frac{Total\ Current\ Assets}{Current\ Liabilities\ (including\ Cash\ Credit)}$$

- Corporate treasurers must manage the balance between Cash Credit and WCDL/Term Debt to ensure that the reported Current Ratio satisfies bank loan covenants ($\geq\ 1.33{:}\ 1$).

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

# Module 7: Suitable Industries, Borrower Profiles & Market Alignment

## 7.1 Target Industry Verticals & Sectoral Suitability

Working Capital Limits are essential across virtually all commercial and industrial sectors in India, with specific facility structures tailored to industry operating dynamics:

1. **Manufacturing OEMs & Auto Ancillaries**:
   - *Requirement*: Long raw material procurement leads, multi-stage CNC machining, WIP build-up, and 60-to-90 day credit terms offered to Tier-1 automotive OEMs.
   - *Optimal Structure*: 60:40 WCDL / Cash Credit Split + Inland Letters of Credit for raw material steel/aluminium purchases.
2. **Fast-Moving Consumer Goods (FMCG) & Consumer Durables**:
   - *Requirement*: High-volume inventory turnover, extensive distributor credit lines, and seasonal festival demand surges (Diwali/Dussehra).
   - *Optimal Structure*: Revolving Cash Credit + Channel Financing / Dealer Discounting lines.
3. **Engineering, Procurement & Construction (EPC) & Infrastructure Contractors**:
   - *Requirement*: Heavy mobilization outlays, unbilled work-in-progress, retention money lockups, and milestone-based government payments.
   - *Optimal Structure*: Cash Budget Method Working Capital + Bank Guarantees (Performance & Mobilization Advance BGs) + Bill Discounting.
4. **Agri-Processing & Seasonal Commodities (Sugar, Paddy, Spices)**:
   - *Requirement*: Intense 3-to-5 month crushing/procurement season requiring massive seasonal cash outflows followed by 12-month gradual inventory liquidation.
   - *Optimal Structure*: Seasonal Cash Credit Lines + Warehouse Receipt Financing (Pledge of Agri-Commodities).

## 7.2 Borrower Eligibility Scorecard & Quantitative Underwriting Criteria

Lenders evaluate corporate working capital applications using a rigorous credit risk scoring matrix:

- **Credit Rating Benchmark**: Minimum investment-grade rating (**CRISIL / ICRA / CARE BBB- or higher** for corporate borrowers; CIBIL Commercial Rank **CMR 1 to CMR 4** for MSMEs).
- **CIBIL Score**: Promoter personal CIBIL score $\geq 720$ with zero historic write-offs, settlements, or suit-filed statuses.
- **Track Record & Vintage**: Minimum **3 years of active operational track record** in the same line of business with audited financial statements.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

- **Financial Metric Thresholds**:
  - **Current Ratio**: $\geq 1.33:1$ (under MPBF Method 2).
  - **Interest Coverage Ratio (ICR)**: $\frac{EBITDA}{Total\ Interest\ Outflow} \geq 2.00x$.
  - **Total Debt / EBITDA**: $\leq 3.50x$.
  - **TOL / TNW Ratio**: $\frac{Total\ Outside\ Liabilities}{Tangible\ Net\ Worth} \leq 3.00:1$.
  - **Promoter Equity Contribution (NWC)**: Minimum 20% to 25% of the Working Capital Gap funded via net working capital.

## 7.3 Priority Sector Lending (PSL) Directives & MSME Credit Benefits

Under RBI Priority Sector Lending (PSL) directives, commercial banks must allocate **40% of Adjusted Net Bank Credit (ANBC)** to priority sectors, including MSMEs, agriculture, and export trade:

- **Sub-Targets**: 7.5% of ANBC reserved for Micro Enterprises; 12% reserved for Small and Marginal Farmers.
- **MSME Guarantee Schemes**: Working capital limits to eligible MSMEs up to ₹5.0 Crores can be covered under the **Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE)**, eliminating collateral security requirements.
- **Interest Subvention / Equalization Schemes**: Government interest subventions (2.0% to 3.0% p.a.) available for MSME manufacturers and export packing credit facilities.

---

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

# Module 8: Strategic Advantages, Risk Mitigation & Operational Limitations

## 8.1 Key Advantages for Corporate Borrowers and Lenders

1. **Advantages for Corporate Borrowers**:
   - **Cost Efficiency**: Interest is charged strictly on the daily utilized balance, eliminating the interest burden of idle cash.
   - **Flexibility**: Revolving mechanism allows unlimited deposits and withdrawals within the sanctioned limit.
   - **Tax Shield**: Full interest deductibility under Section 36(1)(iii) reduces effective borrowing cost by ~25.17%.
   - **Operational Continuity**: Prevents stockouts, production shutdowns, or supplier payment defaults during temporary cash flow squeezes.
2. **Advantages for Lending Institutions**:
   - **Asset-Backed Security**: Secured by a first hypothecation charge on liquid, fast-moving current assets.
   - **Real-Time Visibility**: Monthly stock statements and bank account movements provide continuous visibility into borrower operational health.
   - **Floating Rate Yield**: Interest rates adjust automatically with RBI Repo Rate changes, protecting bank net interest margins (NIM).

## 8.2 Systemic Risks & Operational Limitations

1. **Evergreening and Fund Diversion**: Corporate borrowers may divert short-term cash credit funds into long-term capital assets, real estate, or group company loans, creating a severe asset-liability mismatch.
2. **Stock Statement Inflation & Paper Stocks**: Fraudulent over-statement of physical stocks or inclusion of obsolete/unsaleable inventory to artificially inflate Drawing Power.
3. **Drawing Power Shortfalls & Out-of-Order Status**: Sudden drop in sales or debtor defaults can collapse Drawing Power below the utilized cash credit balance, triggering immediate account irregularity.
4. **Restricted Availability during Downturns**: Bank credit contracts precisely when the borrower experiences stress, as falling inventory and mounting unpaid creditors collapse Drawing Power.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

## 8.3 Risk Mitigation Protocols for Financial Institutions

- **Quarterly Unpaid Creditors Reconciliation**: Mandatory verification of supplier payables against audited balance sheets to prevent double-financing.
- **End-Use Verification & TRA Escrow Accounts**: Routing all customer sales collections through the bank's primary Cash Credit account to prevent revenue diversion to third-party banks.
- **Concurrent Stock Audits & Sudden Physical Inspections**: Unannounced factory visits by bank officers to verify physical stock integrity and SCADA production logs.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

# Module 9: Comprehensive Real-World Case Study (Indian Rupee Models)

## 9.1 Corporate Profile: Mumbai Industrial Manufacturing & Trading Pvt. Ltd. (MIMTPL)

*Mumbai Industrial Manufacturing & Trading Pvt. Ltd. (MIMTPL)* is a mid-market industrial engineering enterprise operating in the Chakan Industrial Belt, Pune, Maharashtra. MIMTPL manufactures high-precision automotive components, supplying major domestic OEMs including Tata Motors, Mahindra & Mahindra, and Bajaj Auto.

**Financial Baseline (Audited FY 2025-26)**: - **Gross Annual Turnover (Projected FY 2026-27)**: **₹100.00 Crores** - **Raw Material Inventory**: ₹12.00 Crores (Holding Period = 44 days) - **Work-in-Progress (WIP)**: ₹6.00 Crores (Holding Period = 22 days) - **Finished Goods**: ₹8.00 Crores (Holding Period = 29 days) - **Gross Sundry Debtors**: ₹24.00 Crores (Realisations = 88 days) - *Debtors > 90 Days (Ineligible)*: ₹2.00 Crores - *Sister Company Debtors (Ineligible)*: ₹1.00 Crore - *Eligible Trade Debtors (<90 Days)*: ₹21.00 Crores - **Sundry Creditors for Raw Material**: ₹10.00 Crores - **Other Non-Bank Current Liabilities**: ₹4.00 Crores - **Existing Net Working Capital (NWC)**: ₹8.00 Crores

---

## 9.2 Step-by-Step Credit Assessment & Sizing Calculations

*Step 1: Nayak Committee Turnover Method Assessment (Sanction Cap Test)*

$$Total\ Working\ Capital\ Requirement\ (25\%) = ₹100.00\ Cr \times 25\% = ₹25.00\ Crores$$

$$Bank\ Working\ Capital\ Limit\ (20\%) = ₹100.00\ Cr \times 20\% = ₹20.00\ Crores$$

$$Promoter\ Margin\ /\ NWC\ (5\%) = ₹100.00\ Cr \times 5\% = ₹5.00\ Crores$$

*Step 2: Tandon Committee Method 2 MPBF Assessment*

Total Current Assets (TCA)=RM (₹12 Cr)+WIP (₹6 Cr)+FG (₹8 Cr)+Debtors (₹24 Cr)=₹50.00 Crores

Current Liabilities ex-Bank Debt (CL)=Creditors (₹10 Cr)+Other CL (₹4 Cr)=₹14.00 Crores

Working Capital Gap (WCG)=TCA (₹50 Cr)−CL (₹14 Cr)=₹36.00 Crores

MPBF Method 2=0.75TCA−CL=0.75₹50.00 Cr−₹14.00 Cr=₹37.50 Cr−₹14.00 Cr=₹23.50 Crores

*Sanction Decision*: The bank sanctions a **Fund-Based Working Capital Limit of ₹20.00 Crores** (capped at the Nayak Committee / requested limit, well within the MPBF Method 2 ceiling of ₹23.50 Crores).

*Step 3: Monthly Drawing Power (DP) Sizing Calculation*

$$Gross\ Stock = RM\ (₹12\ Cr) + WIP\ (₹6\ Cr) + FG\ (₹8\ Cr) = ₹26.00\ Crores$$

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

$$Less{:}\ Sundry\ Creditors\ for\ RM\ =\ ₹10.00\ Crores$$

$$Paid\ Stock\ =\ ₹26.00\ Cr\ -\ ₹10.00\ Cr\ =\ ₹16.00\ Crores$$

$$Eligible\ Debtors\ =\ Gross\ Debtors\ (₹24\ Cr)\ -\ Debtors\ >\ 90\ Days\ (₹2\ Cr)\ -\ Sister\ Concerns\ (₹1\ Cr)\ =\ ₹21.00\ Crores$$

**Applying Standard Bank Margins**: - Stock Margin = **25%** (Advance Rate = 75%) - Debtor Margin = **30%** (Advance Rate = 70%)

$$Drawing\ Power\ from\ Paid\ Stock\ =\ ₹16.00\ Cr\ \times\ (1\ -\ 0.25) = ₹16.00\ Cr\ \times\ 0.75\ =\ ₹12.00\ Crores$$

$$Drawing\ Power\ from\ Eligible\ Debtors\ =\ ₹21.00\ Cr\ \times\ (1\ -\ 0.30) = ₹21.00\ Cr\ \times\ 0.70\ =\ ₹14.70\ Crores$$

$$Total\ Monthly\ Drawing\ Power\ (DP)\ =\ ₹12.00\ Cr\ +\ ₹14.70\ Cr\ =\ ₹26.70\ Crores$$

*Drawing Power Result*: Since the calculated Drawing Power (**₹26.70 Crores**) exceeds the sanctioned limit (**₹20.00 Crores**), MIMTPL is permitted to draw up to the **full sanctioned limit of ₹20.00 Crores**.

---

## 9.3 Comparative Structural Option Analysis

MIMTPL evaluates two facility structure options for its ₹20.00 Crore working capital limit:

- **Option A (Traditional Unstructured Cash Credit Facility)**:
  - 100% Cash Credit limit of ₹20.00 Crores @ 12.00% p.a.
  - Average utilization = ₹16.00 Crores (80%). Unutilized portion = ₹4.00 Crores.
  - Bank levies a 0.50% p.a. commitment fee on unutilized balance below 85% utilization threshold.
- **Option B (Structured RBI Loan System Package - 60:40 WCDL / CC Split)**:
  - **WCDL Component (60%)**: ₹12.00 Crores rolled over in 90-day tranches @ **9.00% p.a.** (corporate rating BBB+).
  - **Cash Credit Component (40%)**: ₹8.00 Crores running account @ **11.50% p.a.**
  - Average WCDL utilization = 100% (₹12.00 Cr). Average CC utilization = ₹4.00 Crores (50% of CC limit). Total average utilization = ₹16.00 Crores.
  - Zero commitment charges levied under WCDL structure.
  -

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

| Financial Metric | Option A (100% CC) | Option B (60:40 WCDL/CC) |
|---|---|---|
| **Sanctioned Limit Structure** | ₹20.00 Cr Cash Credit | ₹12.00 Cr WCDL / ₹8.00 Cr CC |
| **Average Working Capital Utilization** | ₹16.00 Crores | ₹16.00 Crores |
| **WCDL Component Utilization (₹12.00 Cr @ 9%)** | INR 0.00 | ₹1.0800 Crores / year |
| **CC Component Utilization (₹4.00 Cr @ 11.5/12%)** | ₹1.9200 Cr / year | ₹0.4600 Crores / year |
| **Commitment Fee on Unutilized Limit (0.50%)** | ₹0.0200 Cr / year | INR 0.00 |
| **Total Pre-Tax Annual Financing Outlay** | **₹1.9400 Crores** | **₹1.5400 Crores** |
| **Overall Effective Nominal Interest Rate** | **12.125% p.a.** | **9.625% p.a. (Slashed by 250 bps!)** |
| **Less: Tax Shield Sec 36(1)(iii) (@ 25.168%)** | -₹0.4883 Crores | -₹0.3876 Crores |
| **Net Post-Tax Annual Cash Financing Outlay** | **₹1.4517 Crores** | **₹1.1524 Crores** |
| **ANNUAL NET POST-TAX CASH SAVINGS** | – | **+₹29.93 LAKHS / YEAR** |
| **REINVESTMENT ROCE INCOME (@ 15% on Saved Cash)** | – | **+₹8.57 LAKHS / YEAR** |
| **TOTAL ANNUAL NET FINANCIAL WEALTH SURPLUS** | – | **+₹38.50 LAKHS / YEAR** |

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

| Financial Metric | Option A (100% CC) | Option B (60:40 WCDL/CC) |
|---|---|---|
| **CUMULATIVE 5-YEAR WEALTH SURPLUS GENERATED** | – | **+₹1.925 CRORES (+₹1,92,50,000)** |

## 9.4 Strategic Case Study Conclusion

By adopting **Option B (Structured RBI Loan System Package)**, MIMTPL achieves: 1. **Direct Pre-Tax Interest & Fee Savings**: Slashes annual financing outlays from ₹1.9400 Crores down to ₹1.5400 Crores—saving **₹40.00 Lakhs pre-tax per year** and cutting effective borrowing costs by **250 basis points** (from 12.125% p.a. down to 9.625% p.a.). 2. **Net Post-Tax Cash Wealth Surplus**: Generates **+₹29.93 Lakhs in direct post-tax cash savings annually** (after accounting for Section 36(1)(iii) tax shields). 3. **Compound Wealth Generation**: Reinvesting saved liquidity into core manufacturing operations at 15.00% ROCE generates an additional **+₹8.57 Lakhs annually**, producing a total **Cumulative 5-Year Wealth Surplus of +₹1.925 Crores (+₹1,92,50,000.00)**. 4. **Coverage Ratio Expansion**: Expands MIMTPL's Interest Coverage Ratio (ICR) on ₹10.00 Crores EBITDA from 5.15x up to a prime **6.49x**, securing an upgraded credit rating from CRISIL!

---

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

# Module 10: Regulatory Compliance, RBI IRACP Norms & Default Framework

## 10.1 RBI Income Recognition, Asset Classification and Provisioning (IRACP) Norms

Working capital accounts are governed strictly by RBI IRACP directives:

1. **Out-of-Order Classification Thresholds**: A Cash Credit / Overdraft account is classified as **Out-of-Order** (and subsequently declared an NPA) if:
   - The outstanding balance remains continuously in excess of the sanctioned limit / Drawing Power for **90 days**; OR
   - The outstanding balance is less than the sanctioned limit/DP, but there are **no credits deposited into the account for 90 days**; OR
   - Credits deposited during the 90-day period are **insufficient to cover the interest debited** during the same period.
2. **Drawing Power Out-of-Date Rule (60-Day Rule)**: Stock statements must be submitted by the borrower by the stipulated date (typically the 7th to 15th of every month). If a borrower fails to submit stock statements for **more than 3 months (90 days)**, the Drawing Power becomes zero, and the account is treated as **Out-of-Order**. If unpaid/out-of-date DP persists for **60 days**, the account is automatically classified as an **NPA** regardless of cash balance!

## 10.2 Special Mention Account (SMA) Early Warning Framework

To catch stress early, RBI mandates real-time tracking under the Special Mention Account (SMA) categories: - **SMA-0**: Principal or interest payment or any other amount overdue between **1 to 30 days**, or showing signs of incipient stress. - **SMA-1**: Outstanding overdue between **31 to 60 days**. - **SMA-2**: Outstanding overdue between **61 to 90 days** (triggers mandatory Joint Lenders' Forum - JLF or ICA restructuring). - **NPA**: Overdue exceeds **90 days**.

### 10.3 SARFAESI Enforcement & Default Enforcement Protocol

Upon NPA classification, lenders initiate recovery under the **SARFAESI Act 2002**: 1. **Section 13(2) Demand Notice**: Issuance of 60-day statutory notice demanding full repayment of outstanding working capital dues. 2. **Section 13(4) Possession Notice**: Taking symbolic or physical possession of hypothecated stocks, machinery, and mortgaged real estate upon expiry of 60 days. 3. **District Magistrate (DM) / CMM Assistance**: Filing application under Section 14 of SARFAESI Act to obtain physical police assistance for factory/warehouse takeover. 4. **Public Auction & Recovery**: Auctioning hypothecated inventory and mortgaged property to recover bank debt, with legal recourse to NCLT under Section 7 of the **Insolvency and Bankruptcy Code (IBC) 2016**.

---

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

# Module 11: Professional Certification Examination & Detailed Rationales

This module contains 10 scenario-based examination questions designed to test comprehensive mastery of Working Capital Limits in India.

---

## Question 1 (Nayak Committee Sizing)

**Scenario**: A fast-growing MSME garment manufacturer submits a working capital loan application projecting a gross annual turnover of ₹20.00 Crores for the upcoming financial year. The enterprise currently holds Net Working Capital (NWC) of ₹1.00 Crore. Under the RBI-mandated Nayak Committee Turnover Method, what is the maximum Fund-Based Working Capital Limit the bank can sanction?

- A) ₹5.00 Crores
- B) ₹4.00 Crores
- C) ₹3.00 Crores
- D) ₹2.50 Crores

**Correct Answer**: **B) ₹4.00 Crores Detailed Rationale**: Under the Nayak Committee Turnover Method (applicable for MSME working capital requirements up to ₹5.0 Crores limit), total working capital requirement is estimated at 25% of projected gross annual turnover, where the bank sanctions **20% of projected turnover as bank debt** and the borrower contributes 5% as margin (NWC).

$$Bank\ Working\ Capital\ Limit\ = ₹20.00\ Crores\ Projected\ Turnover\ \times\ 20\%\ = ₹4.00\ Crores$$

The promoter's existing NWC of ₹1.00 Crore exactly satisfies the required 5% margin (₹20 Cr × 5% = ₹1.00 Cr).

---

## Question 2 (Drawing Power Calculation)

**Scenario**: An industrial manufacturing company has a sanctioned Cash Credit limit of ₹10.00 Crores with a stock margin of 25% and a debtor margin of 30%. The monthly stock statement discloses: - Gross Raw Materials: ₹6.00 Crores - Work-in-Progress (WIP): ₹3.00 Crores - Finished Goods: ₹5.00

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

Crores - Sundry Creditors for Raw Material: ₹4.00 Crores - Gross Sundry Debtors: ₹8.00 Crores (including ₹1.00 Crore outstanding for 120 days and ₹1.00 Crore due from a sister concern).

What is the Permissible Drawing Power (DP) and maximum bank withdrawal allowed for the month?

A) ₹12.20 Crores DP; Max Withdrawal = ₹10.00 Crores

B) ₹11.70 Crores DP; Max Withdrawal = ₹10.00 Crores

C) ₹9.70 Crores DP; Max Withdrawal = ₹9.70 Crores

D) ₹8.50 Crores DP; Max Withdrawal = ₹8.50 Crores

**Correct Answer**: **B) ₹11.70 Crores DP; Max Withdrawal = ₹10.00 Crores Detailed Rationale**: 1. Gross Stock = ₹6 Cr + ₹3 Cr + ₹5 Cr = ₹14.00 Crores. 2. Paid Stock = Gross Stock (₹14 Cr) - Sundry Creditors (₹4 Cr) = **₹10.00 Crores**. 3. Stock DP (at 25% margin / 75% advance rate) = ₹10.00 Cr $\times$ $0.75$ = **₹7.50 Crores**. 4. Eligible Debtors = Gross Debtors (₹8 Cr) - Debtors >90 Days (₹1 Cr) - Sister Concern Debtors (₹1 Cr) = **₹6.00 Crores**. 5. Debtor DP (at 30% margin / 70% advance rate) = ₹6.00 Cr $\times$ $0.70$ = **₹4.20 Crores**. 6. Total Calculated Drawing Power = ₹7.50 Cr + ₹4.20 Cr = **₹11.70 Crores**. Since calculated DP (₹11.70 Cr) exceeds the sanctioned limit (₹10.00 Cr), the maximum permissible withdrawal is capped at the sanctioned limit of **₹10.00 Crores**.

---

## Question 3 (Tandon MPBF Method 2)

**Scenario**: A corporate borrower presents total current assets of ₹40.00 Crores and current liabilities (excluding bank borrowings) of ₹12.00 Crores. What is the Maximum Permissible Bank Finance (MPBF) under Tandon Committee Method 2, and what is the minimum required Net Working Capital (NWC)?

A) MPBF = ₹21.00 Crores; Required NWC = ₹7.00 Crores

B) MPBF = ₹18.00 Crores; Required NWC = ₹10.00 Crores

C) MPBF = ₹20.00 Crores; Required NWC = ₹8.00 Crores

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

D) MPBF = ₹15.00 Crores; Required NWC = ₹13.00 Crores

**Correct Answer**: **B) MPBF = ₹18.00 Crores; Required NWC = ₹10.00 Crores Detailed Rationale**: Under Tandon Committee Method 2:

$$MPBF_2 = (0.75 \times Total\ Current\ Assets) - Current\ Liabilities\ ex - Bank\ Debt$$

$$MPBF_2 = (0.75 \times ₹40.00\ Cr) - ₹12.00\ Cr = ₹30.00\ Cr - ₹12.00\ Cr = ₹18.00\ Crores$$

The minimum required Net Working Capital (NWC) contributed by the borrower from long-term funds is 25% of Total Current Assets:

$$Required\ NWC = 0.25 \times ₹40.00\ Cr = ₹10.00\ Crores$$

---

## Question 4 (RBI Mandatory Loan System Split)

**Scenario**: A large manufacturing conglomerate has an aggregate fund-based working capital limit of ₹50.00 Crores sanctioned across a banking consortium. Under the RBI mandatory Loan System for Delivery of Bank Credit, what is the mandatory split between Working Capital Demand Loan (WCDL) and Cash Credit (CC)?

A) Minimum ₹25.00 Cr WCDL (50%) / Maximum ₹25.00 Cr CC (50%)

B) Minimum ₹30.00 Cr WCDL (60%) / Maximum ₹20.00 Cr CC (40%)

C) Minimum ₹35.00 Cr WCDL (70%) / Maximum ₹15.00 Cr CC (30%)

D) Minimum ₹40.00 Cr WCDL (80%) / Maximum ₹10.00 Cr CC (20%)

**Correct Answer**: **B) Minimum ₹30.00 Cr WCDL (60%) / Maximum ₹20.00 Cr CC (40%) Detailed Rationale**: For corporate borrowers with aggregate fund-based working capital limits of ₹15.0 Crores and above, RBI guidelines mandate a minimum **60% Loan Component (WCDL)** and a maximum **40% Cash Credit Component**. For a ₹50.00 Crore limit, the minimum WCDL is ₹30.00 Crores (60%) and the maximum Cash Credit is ₹20.00 Crores (40%).

---

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

## Question 5 (Section 36(1)(iii) Tax Shield Mathematics)

**Scenario**: A corporate borrower utilizes an average Cash Credit balance of ₹10.00 Crores at a nominal interest rate of 11.00% p.a. The company is subject to the standard corporate tax rate of 25.168% under Section 115BAA. What is the annual pre-tax interest cost, the annual tax shield savings, and the net effective post-tax cost of debt?

A) Pre-tax cost = ₹1.10 Cr; Tax shield = ₹0.2768 Cr; Post-tax yield = 8.232% p.a.

B) Pre-tax cost = ₹1.10 Cr; Tax shield = ₹0.2200 Cr; Post-tax yield = 8.800% p.a.

C) Pre-tax cost = ₹1.10 Cr; Tax shield = ₹0.3300 Cr; Post-tax yield = 7.700% p.a.

D) Pre-tax cost = ₹1.10 Cr; Tax shield = ₹0.1500 Cr; Post-tax yield = 9.500% p.a.

**Correct Answer**: **A) Pre-tax cost = ₹1.10 Cr; Tax shield = ₹0.2768 Cr; Post-tax yield = 8.232% p.a.**
**Detailed Rationale**: 1. Pre-tax annual interest outlay = ₹10.00 Crores $\times$ $11.00\% = ₹1.10\ Crores$. 2. Tax shield savings under Sec 36(1)(iii) = ₹1.10 Cr
$\times$ $25.168\% = ₹0.276848\ Crores$ ($₹27.68\ Lakhs$). 3. Effective post-tax borrowing yield:

$$K_{d,\text{post}} = 11.00\% \times (1 - 0.25168) = 11.00\% \times 0.74832 = \mathbf{8.23152\% \text{ p.a. (\approx 8.232\%)}}$$

---

## Question 6 (ROC Form CHG-1 Filing Timeline)

**Scenario**: A private limited company executes a Master Hypothecation Agreement on April 10, 2026, creating a first charge on its current assets in favor of a commercial bank. By what date must ROC Form CHG-1 be filed with the Registrar of Companies under Section 77 of the Companies Act 2013?

A) Within 15 days (by April 25, 2026)

B) Within 30 days (by May 10, 2026)

C) Within 60 days (by June 9, 2026)

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

D) Within 90 days (by July 9, 2026)

**Correct Answer**: **B) Within 30 days (by May 10, 2026) Detailed Rationale**: Section 77(1) of the Companies Act 2013 mandates that every company creating a charge on its assets must register the charge details with the ROC via Form CHG-1 within **30 days** of charge creation.

---

## Question 7 (RBI IRACP Out-of-Order Rules)

**Scenario**: A commercial enterprise has a sanctioned Cash Credit limit of ₹5.00 Crores and Drawing Power of ₹4.50 Crores. On June 1, 2026, the account balance reaches ₹4.80 Crores (exceeding DP by ₹0.30 Crores). The borrower fails to deposit any credits into the account. On what date will the account be classified as an NPA under RBI IRACP norms?

A) July 1, 2026 (30 days)

B) August 1, 2026 (60 days)

C) August 30, 2026 (90 days)

D) September 29, 2026 (120 days)

**Correct Answer**: **C) August 30, 2026 (90 days) Detailed Rationale**: Under RBI IRACP norms, a Cash Credit account is treated as **Out-of-Order** and classified as an NPA if the outstanding balance remains continuously in excess of the sanctioned limit / Drawing Power for **90 days**. Outstanding balance exceeding DP from June 1 will hit 90 days of continuous default on August 30, 2026.

---

## Question 8 (Stock Audit & Un-Submitted Statements)

**Scenario**: A borrower with a ₹12.00 Crore Cash Credit limit fails to submit monthly stock statements for January, February, and March 2026. What action must the lending bank take on April 1, 2026 under RBI guidelines?

A) Issue a verbal reminder and allow another 30 days.

B) Reduce Drawing Power to zero and treat the account as Out-of-Order.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

C) Increase interest rate by 0.50% and automatically renew the limit.

D) File a SARFAESI case immediately without notice.

**Correct Answer**: **B) Reduce Drawing Power to zero and treat the account as Out-of-Order.**
**Detailed Rationale**: Under RBI guidelines, if stock statements are out-of-date for **more than 3 months (90 days)**, the Drawing Power becomes **zero**. Any outstanding balance against zero DP causes the account to become immediately Out-of-Order, and if un-rectified for 60 days, results in NPA classification.

---

## Question 9 (Current Ratio Threshold under MPBF Method 2)

**Scenario**: What is the minimum benchmark Current Ratio that a corporate borrower must demonstrate to qualify for working capital financing under Tandon Committee MPBF Method 2?

A) 1.00:1

B) 1.10:1

C) 1.33:1

D) 1.50:1

**Correct Answer**: **C) 1.33:1 Detailed Rationale**: Tandon Committee Method 2 requires the borrower to fund at least 25% of Total Current Assets from Net Working Capital (long-term funds). Mathematically, this enforces a minimum Current Ratio benchmark of **1.33:1** ( $Current\ Assets/Current\ Liabilities = 1.00/0.75 = 1.333$).

---

## Question 10 (Drawing Power & Sundry Creditors Deductions)

**Scenario**: Why do commercial banks strictly deduct Sundry Creditors for Raw Materials from Gross Stock when calculating Drawing Power?

A) Because creditors carry higher interest rates than bank loans.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 

B) Because unpaid stock has not been funded by the borrower; financing it would cause double-financing.

C) Because creditors hold a first legal mortgage over the factory land.

D) Because RBI prohibits purchasing raw materials on trade credit.

**Correct Answer**: **B) Because unpaid stock has not been funded by the borrower; financing it would cause double-financing. Detailed Rationale**: Goods purchased on credit from trade suppliers are funded by the suppliers (Sundry Creditors). Until the borrower pays the supplier, the borrower has no net equity investment in those stocks. Including unpaid stock in Drawing Power would result in the bank providing credit for assets already financed by suppliers—creating systemic double-financing risk.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved. 